

How Sales Commission Is Calculated

The Excel sheet vs. the ERP — what matches, what doesn't, and what actually affects money.
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Every commission answers three questions in order:

- 1. How much is earned?** Sale price × the person's percentage.
- 2. How much is payable right now?** Depends on how much the customer has paid so far.
- 3. How much after tax?** *Brokers only.* Internal staff have no tax deducted.

The sheet and the app agree on **question 1**. They differ on **question 2**. Only the app does **question 3** at all.

Part A — Internal staff (sales rep & manager)

Question 1: how much is earned — both agree

commission = sale price × percentage

For unit A-104 in سوا: sale price 4,416,774. The rep gets 0.5%, the manager 0.25%.

Person	%	Commission earned
Sales rep (المندوب)	0.5%	22,084
Manager (المدير)	0.25%	11,042

Question 2: how much is payable now — they differ

Both scale the commission by how much the customer has collected so far, as a % of the sale price. But they use different bands:

The Excel sheet		The ERP app	
Collected	Pay	Collected	Pay
under 5%	0%	under 5% (7.5% if indirect)	0%
5% – 7.5%	75%	up to 10%	50%
7.5% and above	100%	10% and above	100%

Unit A-104 has collected 441,677 of 4,416,774 = **9.99999%**.

	Sheet	App shows
Band reached	above 7.5% → pay 100%	just under 10% → pay 50%
Sales rep (المندوب)	22,084	11,042
Manager (المدير)	11,042	5,521

But no one has ever been underpaid by this.

The 50% only affects the preview line «المستحق الآن» on a commission that is still *pending*. The moment you press اعتماد, the app ignores the band completely and creates the payment for the **full 100%** — 22,084, the same as the sheet. So this is a screen-vs-sheet mismatch, not a money mismatch.

Part B — Brokers: the tax steps (app only)

The Excel sheet has no broker tax calculation anywhere — it only covers internal staff. Everything below exists only in the app.

Two different taxes, two separate checkboxes

Tax	What it means	Turned off by
VAT 14% (ض.ق.م)	Already <i>inside</i> the broker's gross amount, so it is backed out first.	إعفاء من ضريبة القيمة المضافة
Withholding 5% (ض.استقطاع)	Charged on the amount left after VAT is removed.	إعفاء من ضريبة الاستقطاع

The two are independent. A broker can be exempt from VAT and still pay withholding tax. Ticking one box does not switch off the other.

Worked example — the broker on unit A-104

1 **Gross:** $4,416,774 \times 3.5\% = 154,587$

2 **Strip out the VAT** that is already inside it:

$$154,587 \div 1.14 = 135,603$$

so the VAT portion is $154,587 - 135,603 = 18,984$

3 **Withholding is 5% of that stripped amount:**

$$135,603 \times 5\% = 6,780$$

4 **Net paid to the broker:**

$$154,587 - 18,984 - 6,780 = 128,823$$

Line on screen	Amount
إجمالي القيمة الكاملة	154,587
ض.ق.م المخصصة	– 18,984
ض.الاستقطاع المخصصة	– 6,780
صافي القيمة الكاملة	128,823

If the broker is VAT-exempt

Step 2 is skipped — there is no VAT inside the amount, so the gross *is* the base. Withholding is then charged on the full gross:

$$154,587 - 0 - (154,587 \times 5\%) = 146,858$$

This is the part that was **wrong before 25 August**: a VAT exemption used to switch off the withholding tax too, so the broker was paid the whole 154,587.

The broker's own rep and manager

They are individuals, not companies — no VAT is involved. Only withholding applies, on the full amount:

$$44,168 - (44,168 \times 5\%) = 41,959$$

Summary

Step	Sheet	App	Same?
Commission earned (price × %)	yes	yes	match
Collection bands	5% / 7.5%, pays 75%	5–7.5% / 10%, pays 50%	differ
Amount actually paid on approval	100%	100%	match
Broker VAT & withholding	not covered	yes	—

The one open decision

The app currently **deducts VAT from what the broker is paid**, so the company keeps it. The alternative — the more usual treatment — is to pay the broker the full VAT-inclusive amount and let them remit the VAT themselves, deducting only withholding. On unit A-104 that is the difference between paying the broker **128,823** and **147,807**. Worth confirming with whoever owns the tax treatment.